Paytm was set up in in August 2010 by Vijay Shekhar Sharma as an e-payments and e-commerce brand of One97 Communications. The name was an acronym for 'Payment Through Mobile'. The company had attracted foreign venture capital investments, notably Chinese investment, from Jack Ma's Alibaba. As on 31 March 2016, Alibaba (through Alibaba.com and Alipay Singapore E Commerce Pvt. Ltd) held 40.93 per cent, Venture Capital Fund SAIF (through SAIF Mauritius and SAIF Partners India Pvt. Ltd.) held 28.68 per cent and Vijay S. Sharma held 21.33 per cent of the equity in the firm.

On 9 November 2016, the morning after demonetization, Paytm ran full front-page advertisements in mainline newspapers across the country, displaying Prime Minister Modi's picture prominently and congratulating him for 'taking the boldest decision in the financial history of independent India'. The ad used the hashtag 'Ab ATM nahin, #Paytm Karo' (now, instead of ATMs, use Paytm).[22]

How Paytm was able to secure this enormous quantum of advertising space in every national newspaper, that too at such short notice, became the subject of much speculation. Questions were also raised as to whether the Prime Minister had given his prior approval for his image to be used in the advertisement – which was in contravention of the Emblems and Names (Prevention of Improper Use) Act, 1950. While the first question remains unanswered, the answer to the second question emerged four months later. On 10 March, Minister of State for Consumer Affairs C.R. Chaudhary said in a written reply to the Rajya Sabha that 'Clarifications were sought by the Department of Consumer Affairs (in February 2017) from Paytm… wherein they have apologised for their inadvertent mistake.'[23]

Continuing their advertising blitz, on 12 November, Paytm rolled out what many felt was a very insensitive TV commercial: 'Drama band karo, Paytm karo' (Stop being melodramatic, use Paytm). The ad, which was subsequently withdrawn, featured a visibly angry woman talking about the hardships that demonetization had created,